

MARKET INTELLIGENCE REPORT

South Carolina Real Estate Market

Comprehensive Analysis & 3-Year Forecast



METHODOLOGY

Data Analysis • Monte Carlo Simulation • Risk Scenarios



COVERAGE

2012–2025 | 2.65 GB of updated data |
339 Regions | South Carolina state

PUBLICATION DATE

27 Jan, 2026

ANALYSIS PRESENTED BY

 **Wassim Bousbia**

Project Overview

Scope & Approach



WHAT WE ANALYZED

- ✓ **13 years**
of statewide housing data of south Carolina **82701 rows × 58 columns**
- ✓ **168 monthly recorder from the US housing market data set- Live update**
- ✓ **339 regions**
reported in South Carolina
- **Key Indicators**
Pricing, supply, demand & velocity



ANALYTICAL FRAMEWORK

- > **Market Trend Analysis**
(2012–2025)
- > **Condition Calibration**
(Last 36 months)
- > **Monte Carlo Simulation**
(10,000 paths)
- > **Scenario & Risk Modeling**
(7 scenarios)



PRIMARY OBJECTIVE

“

Provide a probability based 3-year forecast, not a single point guess. (Here where the Monte Carlo plays a key role !)

KEY FOCUS AREAS

Reliability

Probabilities

Risk Analysis

Market Trends (2012–2025)

13-Year Market Evolution

2012 MEDIAN SALE PRICE

\$125,000

2025 MEDIAN SALE PRICE

\$292,450

TOTAL GROWTH

+134% ↗

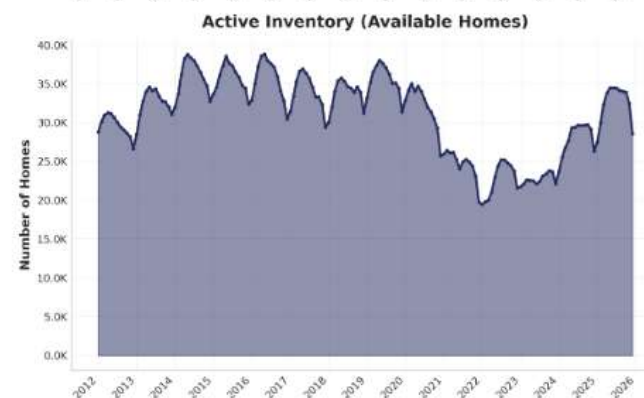
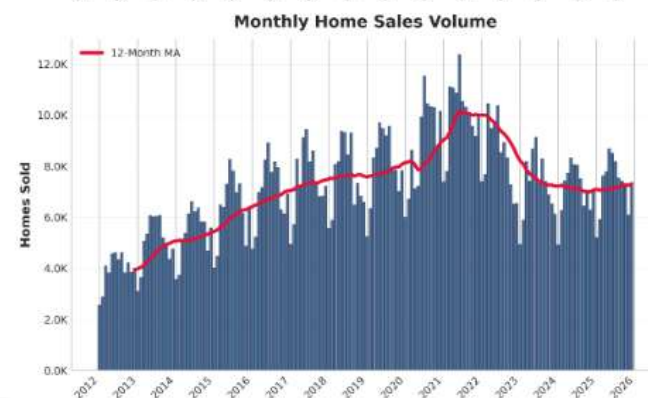
ANNUAL CAGR

~6.7%

💡 KEY INSIGHT

Median Home Price History

South Carolina Housing Market Overview (2012–Present)



Market Dynamics

Supply, Demand & Competition

SUPPLY

MONTHS OF SUPPLY

4.5 Months



Inventory levels rising steadily from historic lows.

Market Phase Shift:

Seller Market → **Balanced**

DEMAND

ACTIVITY TREND

Moderating



- Monthly sales volume down from pandemic peak levels.
- Pending sales showing signs of stabilization after recent drops.

COMPETITION

SALE-TO-LIST

~98%

DOM

~60

- Significant reduction in homes selling above list price.
- Days on Market (DOM) extending, allowing buyers more negotiation power.

STRATEGIC INTERPRETATION



cooling

"A healthy normalization toward historical averages."

Market Dynamics

Supply, Demand & Competition

SUPPLY

MONTHS OF SUPPLY

4.5 Months



Inventory levels rising steadily from historic lows.

Market Phase Shift:

Seller Market → **Balanced**

DEMAND

ACTIVITY TREND

Moderating



- Monthly sales volume down from pandemic peak levels.
- Pending sales showing signs of stabilization after recent drops.

COMPETITION

SALE-TO-LIST

~98%

DOM

~60

- Significant reduction in homes selling above list price.
- Days on Market (DOM) extending, allowing buyers more negotiation power.

STRATEGIC INTERPRETATION



cooling

"A healthy normalization toward historical averages."

Current Market Snapshot

Where We Are Today (Dec 2025)

PRICING METRICS

Statewide Median Home Price

\$292,450

YOY GROWTH

+3.2% ↑ Annual

MONTHLY GROWTH

+0.36% ↗ MoM

DEC 2025 DATA



Balanced Market

Cooling from peak activity but fundamentals remain positive.



DEMAND

7,362

Homes Sold / Month



SUPPLY

28,562

Active Inventory



BALANCE

4.5

Months of Supply

Monte Carlo Methodology

How We Forecasted Prices



WHY MONTE CARLO?



Captures Uncertainty

Models the inherent volatility of real estate markets rather than assuming a straight line.



Generates Probabilities

Provides a range of possible outcomes (best case, worst case) instead of a single guess.



Avoids False Precision

Acknowledges risk factors often ignored in simple linear forecasts.



SIMULATION SETUP

ITERATIONS

10,000

Simulated Price Paths

HORIZON

36 Mo

Through Dec 2028

STARTING PRICE POINT

\$292,450



Geometric Brownian Motion

$$P_{t+1} = P_t \times \exp\left(\left(\mu - \frac{1}{2}\sigma^2\right)\Delta t + \sigma\sqrt{\Delta t}Z_t\right)$$

A stochastic process used in financial mathematics to model asset prices, assuming logarithms of returns are normally distributed.

Monte Carlo Methodology

How We Forecasted Prices



WHY MONTE CARLO?



Captures Uncertainty

Models the inherent volatility of real estate markets rather than assuming a straight line.



Generates Probabilities

Provides a range of possible outcomes (best case, worst case) instead of a single guess.



Avoids False Precision

Acknowledges risk factors often ignored in simple linear forecasts.



SIMULATION SETUP

ITERATIONS

10,000

Simulated Price Paths

HORIZON

36 Mo

Through Dec 2028

STARTING PRICE POINT

\$292,450



√* Geometric Brownian Motion

$$P_{t+1} = P_t \times \exp\left(\left(\mu - \frac{1}{2}\sigma^2\right)\Delta t + \sigma\sqrt{\Delta t}Z_t\right)$$

A stochastic process used in financial mathematics to model asset prices, assuming logarithms of returns are normally distributed.

Three Key Scenarios

Best, Likely & Worst Case (2025–2028)



STRATEGIC TAKEAWAY

UPSIDE (95%)	DOWNSIDE (5%)
+49%	-16%

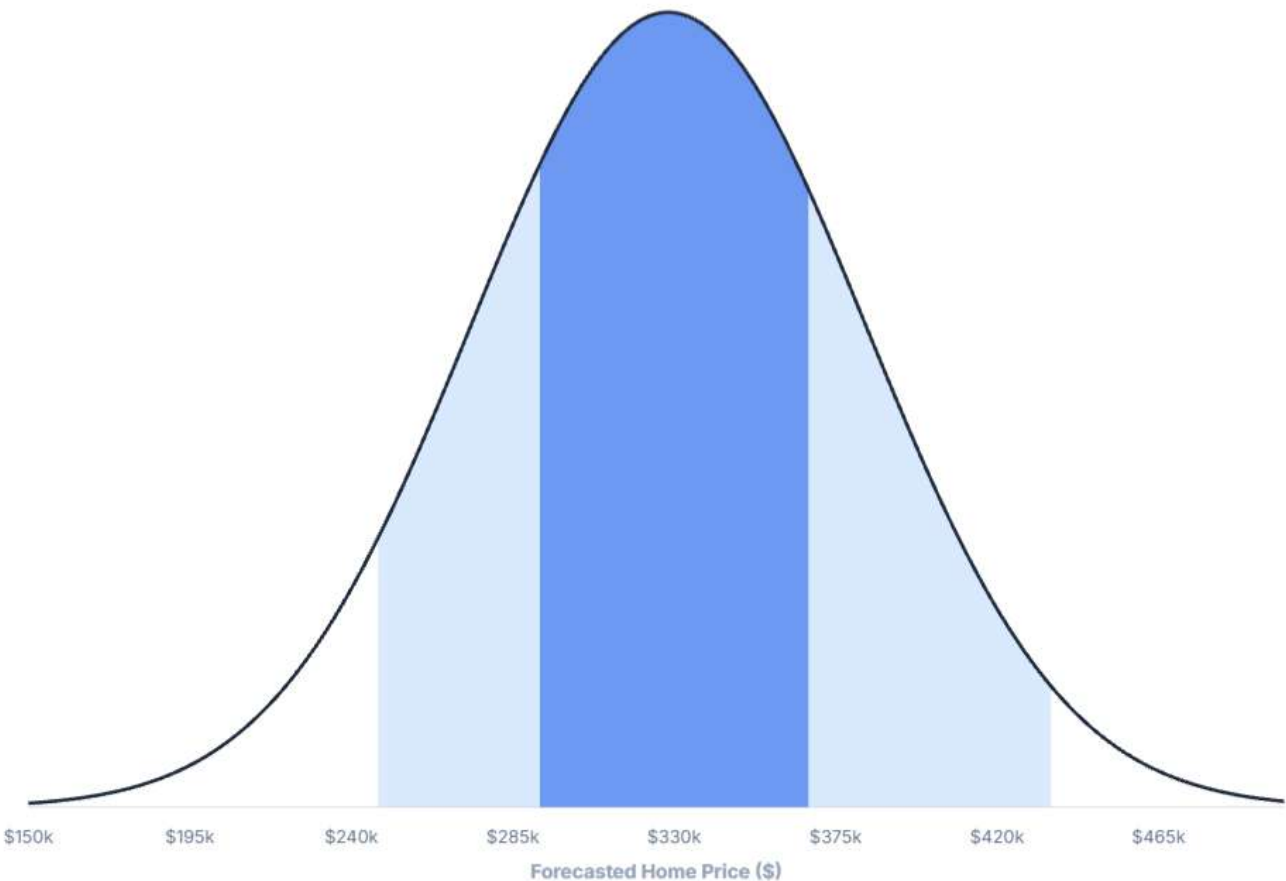
Distribution of Outcomes

Understanding the Uncertainty

Probability Density Function

Simulated Price Distribution at Year 3 (Dec 2028)

50% Probability 90% Probability



Most Likely Range

50% Confidence

\$291K – \$369K

Half of all simulated market outcomes fall within this tight band, representing the consensus forecast.

Plausible Range

90% Confidence

\$246K – \$436K

Broader range accounting for higher volatility scenarios. Only 5% chance of falling below \$246K.

Seven Market Scenarios

What Could Actually Happen

SCENARIO NAME		PROBABILITY	3Y PRICE (DEC '28)	TOTAL RETURN
	Base Case Likely Trend Continuation	PRIMARY 40%	\$328,889	+12.5%
	Bull Market Strong Economic Growth	15%	\$352,315	+20.5%
	High Volatility Uncertain Path	15%	\$296,357	+1.3%
	Stagnation Flat Market / Slowdown	15%	\$289,175	-1.1%
	Bear Market Recessionary Pressure	10%	\$264,897	-9.4%
	Market Crash Severe Systemic Risk	3%	\$220,596	-24.6%
	Boom Explosive Growth	2%	\$370,130	+26.6%

Risk Metrics

Quantifying Downside Risk (VaR)

BASE CASE VAR (95%)
Standard Volatility



-15.6%

In 95% of standard market conditions, loss will not exceed this threshold over 3 years.

BEAR MARKET VAR (95%)
Recessionary Stress



-41.2%

Under significant economic pressure, downside exposure expands considerably.

CRASH SCENARIO VAR (95%)
Systemic Failure



-64.7%

Extreme tail risk event. Highly unlikely but represents maximum theoretical drawdown.



Probability-Weighted Risk

EXPECTED VAR

≈ -20%

Weighted average downside across all 7 scenarios.

SEVERE CRASH PROB.

~3%

Likelihood of >50% value loss is statistically minimal.

Overall Risk Level

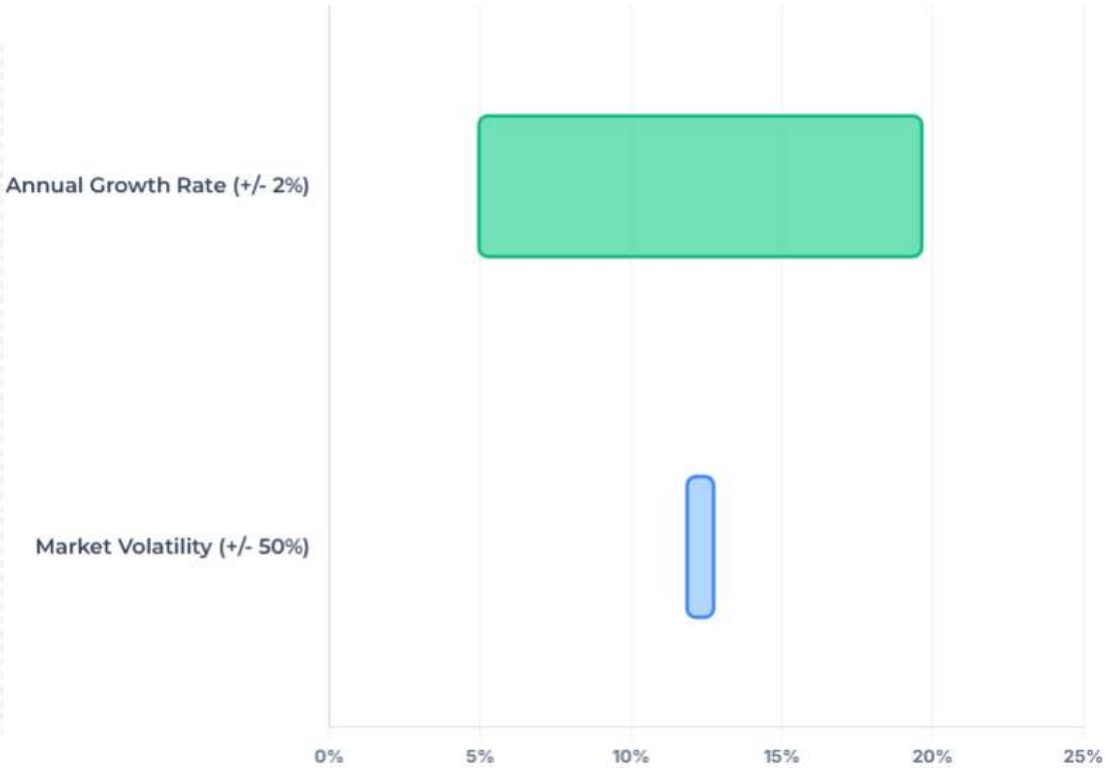


Sensitivity Analysis

What Matters Most?

Impact on Total Return

Comparing the range of outcomes when variables shift



Growth Changes

HIGH IMPACT VARIABLE



+2% Growth Rate	+19.7% Return
-2% Growth Rate	+4.9% Return

Small shifts in the annual appreciation rate create massive divergence in final outcomes due to compounding.

Volatility Changes

LOW IMPACT VARIABLE



HIGHER VOLATILITY	LOWER VOLATILITY
Similar Return	Similar Return
More Risk	Smoother Path

Strategic Implications

What Should You Do?



FOR BUYERS

GAIN PROBABILITY

74%

ACTION PLAN

- ✓ **Buy if holding long-term**
5+ year horizon mitigates risk
- ✓ **Leverage cooling market**
Negotiate on price & repairs
- ✓ **Avoid short-term flips**
Velocity is slowing down



FOR SELLERS

MARKET CONTEXT

Market Cooling

ACTION PLAN

- ⚠ **Sell if timeline is short**
Lock in gains before stagnation
- 🕒 **Hold if flexible**
Wait for next expansion cycle
- 💎 **Price competitively**
Overpricing risks staleness



FOR INVESTORS

EXPECTED RETURN

~4% Annually

STRATEGY

- ⚖️ **Moderate Allocation**
Don't overleverage in 2026
- 🔄 **Diversify Holdings**
Look across regions to hedge risk
- 👁️ **Focus on Cash Flow**
Appreciation will be modest

Executive Summary

Bottom Line

CURRENT PRICE (2025)

\$292,450

3Y FORECAST (MEDIAN)

\$328,381

↗ +\$35,931

👥 MARKET OUTLOOK

"Cautiously optimistic for patient investors"

GAIN PROB.

74%

UPSIDE POTENTIAL

📈

+49%

Best Case Scenario

RISK LEVEL

🛡️

Moderate

DOWNSIDE RISK

📉

-16%

5th Percentile Outcome

FINAL THOUGHTS

Questions & Discussion

scan the QR for resources

